

# GlobalWafers

## Micron's LTA leading another strong and likely longer upcycle

### 10-year contract with Micron to power US expansion

On 9 July, GWC [announced](#) a 10-year contract with Micron supporting the latter's US capacity expansion. We believe the long-term agreement (LTA) shows supply-demand conditions could improve more rapidly in the next 2-3 years, presenting an opportunity GWC is well placed to capture owing to its US expansion. Key points: 1) Micron will pay US\$0.5bn in strategic financing support to facilitate GWC's second-phase expansion in the US; we think this contract implies 200-300kwpmm of committed 12" wafer demand to support Micron's US expansion in Boise and New York. 2) The blended contract pricing could be possibly 40-50% above current contract price based on our estimate, given higher US production cost. 3) The collaboration involves co-development on next-gen products, strengthening GWC's market positioning in memory.

### Other large clients to follow suit in new LTA negotiation

As the possibility that 8" and 12" wafer supply will tighten by [2028](#) has risen, our view has been that GWC's large clients could turn increasingly aggressive towards new LTA discussions to secure supply for 2028-29. Negotiations could take place even before current contracts expire. We expect most large logic and memory clients to prioritise supply security over cost in their wafer procurement, especially as memory clients are making 80% GMs, while TSMC could report a GM of 65%-plus in Q226E. In our view, the industry outlook is turning more favourable for silicon wafer makers, owing to the stronger demand for cloud AI accelerators, server CPUs, [DRAM](#), [HBM](#), [NAND](#) and [advanced packaging](#). Even the mature 6"/8" wafer market segment is recovering on supply consolidation and rising demand from the server and auto/industrial sectors.

### Entering an upcycle with robust price upside

Structurally, we expect price increases in this new upcycle to follow a trajectory closer to the 2017-18 cycle. We forecast GWC's blended 12" wafer prices to increase 30%/26% in 2027/28, and 8" wafer prices to rise 25%/20% in 2027/28. Key drivers of this cycle are the AI mega-trend, re-acceleration of memory capex and more robust margin profiles across most logic and memory clients. Market share gains in advanced nodes at logic foundries, such as TSMC, could also drive ASP upside for GWC.

### Valuation: reiterate Buy; raise price target from NT\$800 to NT\$2,000

We maintain our Buy rating and raise our P/B-based PT from NT\$800 to NT\$2,000. We raise 2027/28E EPS by 80%/106% to NT\$45.2/87.2 respectively. In addition, we raise our target 2027E P/B from 3.6x to 8.5x to reflect: 1) the long-term ROE rising from 18.5% to 30.8%; and 2) GWC's US re-shoring opportunities, market share gains in leading edge products, and the upside in 12" SiC wafers for AI GPUs in 2028E, which we believe justifies a premium to the historical upper end of its P/B range of 7x.

## Equities

Taiwan

Semiconductors

12-month rating

Buy

12m price target

NT\$2,000.00

Prior : NT\$800.00

Price (10 Jul 2026)

NT\$1,350

RIC: 6488.TWO BBG: 6488 TT

### Trading data and key metrics

|                             |                     |
|-----------------------------|---------------------|
| 52-wk range                 | NT\$1,350.00-310.00 |
| Market cap.                 | NT\$645b/US\$20.1b  |
| Shares o/s                  | 478m (ORD)          |
| Free float                  | 37%                 |
| Avg. daily volume ('000)    | 7.58                |
| Avg. daily value (m)        | NT\$6.2             |
| Common s/h equity (12/26E)  | NT\$95.2b           |
| P/BV (12/26E)               | 6.8x                |
| Net debt to EBITDA (12/26E) | 1.3x                |

### EPS (UBS, diluted) (NT\$)

|        | From  | To    | % ch | Cons. |
|--------|-------|-------|------|-------|
| 12/26E | 17.01 | 16.75 | -2   | 21.45 |
| 12/27E | 25.12 | 45.08 | 79   | 28.70 |
| 12/28E | 42.35 | 87.00 | 105  | 40.00 |

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| Highlights (NT\$m)        | 12/23    | 12/24    | 12/25    | 12/26E   | 12/27E   | 12/28E  | 12/29E  | 12/30E  |
|---------------------------|----------|----------|----------|----------|----------|---------|---------|---------|
| Revenues                  | 70,652   | 62,626   | 60,598   | 62,671   | 89,944   | 137,319 | 187,024 | 192,523 |
| EBIT (UBS)                | 20,059   | 14,118   | 8,636    | 7,368    | 24,449   | 53,525  | 82,882  | 81,738  |
| Net earnings (UBS)        | 19,772   | 9,846    | 7,312    | 8,025    | 21,592   | 41,674  | 62,341  | 61,483  |
| EPS (UBS, diluted) (NT\$) | 43.73    | 20.94    | 15.28    | 16.75    | 45.08    | 87.00   | 130.15  | 128.36  |
| DPS (net) (NT\$)          | 20.07    | 11.00    | 5.70     | 6.71     | 18.06    | 34.86   | 0.00    | 0.00    |
| Net (debt) / cash         | (28,942) | (27,857) | (54,769) | (26,922) | (14,490) | 11,973  | 57,667  | 109,680 |
| Profitability/valuation   | 12/23    | 12/24    | 12/25    | 12/26E   | 12/27E   | 12/28E  | 12/29E  | 12/30E  |
| EBIT (UBS) margin %       | 28.4     | 22.5     | 14.3     | 11.8     | 27.2     | 39.0    | 44.3    | 42.5    |
| ROIC (EBIT) %             | 42.7     | 15.2     | 7.3      | 6.1      | 22.5     | 47.8    | 74.5    | 80.7    |
| EV/EBITDA (UBS core) x    | 7.6      | 10.5     | 10.6     | 33.0     | 15.6     | 8.4     | 5.9     | 6.2     |
| P/E (UBS, diluted) x      | 11.6     | 24.1     | 24.1     | 80.6     | 29.9     | 15.5    | 10.4    | 10.5    |
| Equity FCF (UBS) yield %  | (8.4)    | (14.2)   | (12.7)   | 1.4      | (0.1)    | 1.7     | 6.0     | 12.2    |
| Dividend yield (net) %    | 4.0      | 2.2      | 1.6      | 0.5      | 1.3      | 2.6     | 0.0     | 0.0     |

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT\$ 1,350.00 on 10-Jul-2026

**UBS Research THESIS MAP** a guide to our thinking and what's where in this report**PIVOTAL QUESTIONS****Q: Will wafer supply-demand improve in 2027E/28E after the long downcycle since 2022?**

The supply-demand situation for both 12" and 8" silicon wafers should improve meaningfully in 2027-28 after the 2024-25 trough. 1) We believe several wafer makers have slowed their greenfield capacity expansion since 2025. 2) The demand outlook for memory and logic is improving for the next 2-3 years led by cloud AI; we believe the industry's 12" wafer utilisation will incrementally recover from its trough of 79.1% in 2024 to 81.7/82.2% in 2025/2026E and rise further to 87.7%/93.6% in 2027E/28E. 3) We expect GWC's clients to be receptive to new LTA negotiations given increasing supply tightness; we expect supply-demand in the 8" wafer segment to also bottom out and improve from a trough of 71.9%/68.6% in 2024/25 to 78.7% in 2026E and further to 86.7%/93.7% in 2027E/28E.

**Q: Will GlobalWafers' GM return to over 30% in the next three to four years?**

We believe GlobalWafers' GM will recover to around 35% by 2027E, and improve further to 45.9%/50.8% by 2028E/2029E, driven by several factors, including: 1) improving supply-demand dynamics with LTA support; 2) a stronger US fab ramp by GlobalWafers, which will likely enable some share gain in advanced 12" products, as the US government is pushing for the localisation of the semiconductor supply chain; and 3) silicon carbide (SiC) opportunities for AI GPU cooling solutions should improve GlobalWafers' margin profile if the opportunity materialises in 2028E.

**UBSVIEW**

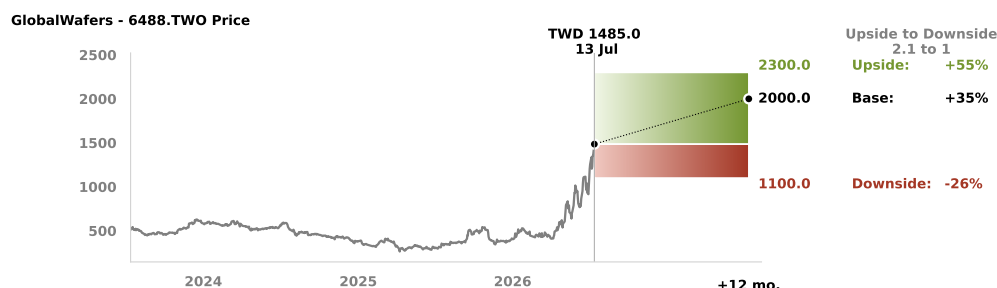
As the possibility that 8" and 12" wafer supply will tighten by 2028 has risen, our view has been that GWC's large clients could be more aggressive with new LTA discussions to secure supply for 2028-29. Negotiations could take place even before current contracts expire. We expect most large logic and memory clients to prioritise supply security over cost in their wafer procurement, especially as memory clients are making 80% GMs, while TSMC could report a 65%-plus GM in Q226. In our view, the industry outlook is turning more favourable for silicon wafer makers, owing to the stronger demand for cloud AI accelerators, [DRAM](#), [HBM](#), [NAND](#) and [advanced packaging](#). Even the mature 6"/8" wafer market segment is recovering on supply consolidation and rising demand from the server and auto/industrial sectors.

**EVIDENCE**

On 9 July, GWC [announced](#) a 10-year contract with Micron supporting the latter's US capacity expansion. We believe the long-term agreement (LTA) shows supply-demand conditions could improve more rapidly in the next 2-3 years, presenting an opportunity GWC is well placed to capture owing to its US expansion. As industry supply tightens, we anticipate GWC's large clients will be more aggressive with new LTA discussions to secure supply for 2028-29.

**WHAT'S PRICED IN?**

The stock has rallied 266% YTD, which we believe reflects the improvement in the silicon wafer cycle. Now the question is how much pricing could increase in this cycle. We are more constructive as these industry dynamics evolve favorably to GWC and forecast GWC's blended 12" ASP to improve 30% in 2027E and 26% in 2028E.

**UPSIDE/DOWNSIDE SPECTRUM**

| Value drivers (2027E) | 12" wafer utilisation rate | 12" wafer ASP growth throughout the year | GM    |
|-----------------------|----------------------------|------------------------------------------|-------|
| NT\$2,300.00 upside   | 90%                        | +28%                                     | 37.2% |
| NT\$2,000.00 base     | 84%                        | +24%                                     | 34.9% |
| NT\$1,100.00 downside | 75%                        | +7%                                      | 26.6% |

Source: UBS estimates

**COMPANY DESCRIPTION**

GlobalWafers (GWC) was founded in 2011 as a spin-off from Sino-American Silicon (SAS). It focuses on silicon raw wafer manufacturing, with a product portfolio of polished, epitaxial (EPI), annealed, diffused, non-polished, float zone (FZ) and silicon-on-insulator (SOI) types.

Figure 1: 12" wafer supply/demand model

|                                                    | 2016         | 2017          | 2018         | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | 2025         | 2026E         | 2027E         | 2028E         | 2029E         |
|----------------------------------------------------|--------------|---------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|---------------|---------------|---------------|---------------|
| <b>Total inventory-adjusted demand (k pcs/mon)</b> | <b>5,018</b> | <b>5,694</b>  | <b>6,269</b> | <b>5,620</b> | <b>6,228</b> | <b>7,273</b> | <b>7,736</b> | <b>6,783</b> | <b>6,975</b> | <b>7,721</b> | <b>8,423</b>  | <b>9,509</b>  | <b>10,491</b> | <b>11,459</b> |
| <b>YoY</b>                                         |              | 13.5%         | 10.1%        | -10.3%       | 10.8%        | 16.8%        | 6.4%         | -12.3%       | 2.8%         | 10.7%        | 9.1%          | 12.9%         | 10.3%         | 9.2%          |
| <b>DRAM</b>                                        | 1,083        | 1,180         | 1,254        | 1,312        | 1,341        | 1,496        | 1,638        | 1,424        | 1,548        | 1,792        | 1,924         | 2,087         | 2,346         | 2,652         |
| <b>NAND</b>                                        | 1,366        | 1,495         | 1,544        | 1,444        | 1,500        | 1,618        | 1,737        | 1,388        | 1,294        | 1,322        | 1,349         | 1,355         | 1,402         | 1,477         |
| <b>Logic &amp; others</b>                          | 2,703        | 2,851         | 3,284        | 3,209        | 3,624        | 4,216        | 4,344        | 3,957        | 4,196        | 4,629        | 5,157         | 5,968         | 6,594         | 7,271         |
| <b>Inventory adjustment</b>                        | -135         | 168           | 188          | -345         | -238         | -58          | 18           | 13           | -63          | -21          | -8            | 0             | 0             | 0             |
| <b>Total output (k pcs/mon)</b>                    | <b>5,143</b> | <b>5,605</b>  | <b>6,281</b> | <b>6,032</b> | <b>6,490</b> | <b>7,324</b> | <b>7,752</b> | <b>7,419</b> | <b>7,299</b> | <b>7,842</b> | <b>8,758</b>  | <b>9,519</b>  | <b>10,043</b> | <b>10,472</b> |
| <b>YoY</b>                                         |              | 9.0%          | 12.1%        | -4.0%        | 7.6%         | 12.8%        | 5.9%         | -4.3%        | -1.6%        | 7.4%         | 11.7%         | 8.7%          | 5.5%          | 4.3%          |
| <b>Shin-Etsu</b>                                   | 1,533        | 1,729         | 2,043        | 1,880        | 1,997        | 2,186        | 2,295        | 2,369        | 2,409        | 2,409        | 2,625         | 2,740         | 2,820         | 2,902         |
| <b>SUMCO</b>                                       | 1,311        | 1,406         | 1,562        | 1,522        | 1,683        | 1,880        | 1,910        | 1,699        | 1,607        | 1,775        | 1,936         | 2,022         | 2,045         | 2,069         |
| <b>Siltronic</b>                                   | 816          | 956           | 1,021        | 890          | 944          | 1,039        | 1,075        | 849          | 850          | 887          | 1,017         | 1,156         | 1,266         | 1,320         |
| <b>GlobalWafers</b>                                | 712          | 722           | 792          | 748          | 815          | 986          | 1,034        | 1,008        | 895          | 950          | 1,062         | 1,240         | 1,350         | 1,485         |
| <b>SK Siltron</b>                                  | 770          | 791           | 863          | 993          | 1,052        | 1,128        | 1,256        | 1,213        | 1,146        | 1,093        | 1,142         | 1,187         | 1,300         | 1,347         |
| <b>China and others effective capacity</b>         | 0            | 0             | 0            | 0            | 0            | 104          | 182          | 282          | 392          | 729          | 976           | 1,174         | 1,261         | 1,349         |
| <b>Total Industry Capacity</b>                     | <b>5,137</b> | <b>5,623</b>  | <b>6,347</b> | <b>6,989</b> | <b>7,146</b> | <b>7,730</b> | <b>8,008</b> | <b>8,289</b> | <b>8,816</b> | <b>9,446</b> | <b>10,243</b> | <b>10,837</b> | <b>11,209</b> | <b>11,549</b> |
| <b>Industry Utilization %</b>                      | <b>97.7%</b> | <b>101.3%</b> | <b>98.8%</b> | <b>80.4%</b> | <b>87.1%</b> | <b>94.1%</b> | <b>96.6%</b> | <b>81.8%</b> | <b>79.1%</b> | <b>81.7%</b> | <b>82.2%</b>  | <b>87.7%</b>  | <b>93.6%</b>  | <b>99.2%</b>  |

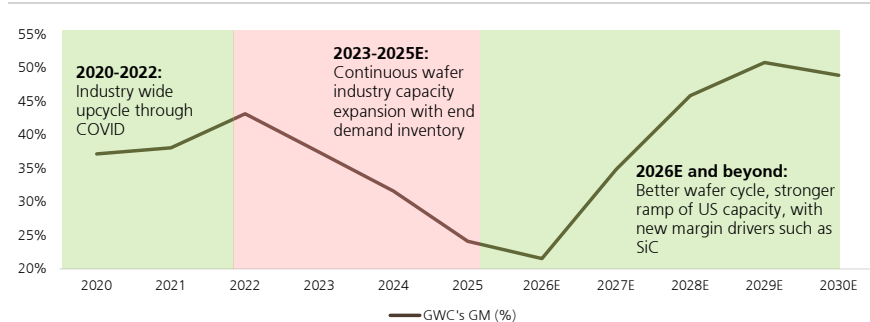
Source: Company data, UBS estimates. Note: China and others refers to NSIG and other suppliers. Mon = month.

Figure 2: 8" wafer supply/demand model

|                                                    | 2015         | 2016         | 2017          | 2018          | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | 2025         | 2026E        | 2027E        | 2028E        | 2029E        |
|----------------------------------------------------|--------------|--------------|---------------|---------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>Wafer demand</b>                                |              |              |               |               |              |              |              |              |              |              |              |              |              |              |              |
| <b>Total inventory-adjusted demand (k pcs/mon)</b> | <b>4,297</b> | <b>4,550</b> | <b>5,291</b>  | <b>5,636</b>  | <b>4,943</b> | <b>4,980</b> | <b>5,958</b> | <b>6,050</b> | <b>4,631</b> | <b>4,120</b> | <b>3,989</b> | <b>4,303</b> | <b>4,681</b> | <b>5,093</b> | <b>5,401</b> |
| <b>YoY</b>                                         |              | 5.9%         | 16.3%         | 6.5%          | -12.3%       | 0.7%         | 19.6%        | 1.5%         | -23.5%       | -11.0%       | -3.2%        | 7.9%         | 8.8%         | 8.8%         | 6.0%         |
| <b>Inventory adjustment (k pcs/mon)</b>            | -100         | -50          | 30            | 30            | -130         | -60          | 70           | 150          | 0            | 0            | -20          | 0            | 0            | 10           | 10           |
| <b>Total capacity (k pcs/mon)</b>                  | <b>4,920</b> | <b>5,136</b> | <b>5,202</b>  | <b>5,581</b>  | <b>5,792</b> | <b>5,939</b> | <b>6,019</b> | <b>6,328</b> | <b>5,973</b> | <b>5,726</b> | <b>5,814</b> | <b>5,469</b> | <b>5,401</b> | <b>5,435</b> | <b>5,435</b> |
| <b>YoY</b>                                         |              | 4.4%         | 1.3%          | 7.3%          | 3.8%         | 2.5%         | 1.3%         | 5.1%         | -5.6%        | -4.1%        | 1.5%         | -5.9%        | -1.2%        | 0.6%         | 0.0%         |
| <b>Shin-Etsu</b>                                   | 1,200        | 1,236        | 1,285         | 1,363         | 1,403        | 1,432        | 1,460        | 1,471        | 1,133        | 869          | 752          | 752          | 752          | 752          | 752          |
| <b>SUMCO</b>                                       | 1,250        | 1,288        | 1,200         | 1,200         | 1,200        | 1,250        | 1,163        | 1,375        | 1,211        | 1,038        | 1,175        | 800          | 700          | 700          | 700          |
| <b>GlobalWafers</b>                                | 1,000        | 1,032        | 1,095         | 1,106         | 1,117        | 1,128        | 1,139        | 1,151        | 1,162        | 1,174        | 1,174        | 1,174        | 1,174        | 1,174        | 1,174        |
| <b>Siltronic</b>                                   | 650          | 650          | 650           | 650           | 650          | 650          | 650          | 650          | 650          | 650          | 650          | 650          | 650          | 650          | 650          |
| <b>SK Siltron</b>                                  | 550          | 630          | 649           | 655           | 662          | 669          | 675          | 682          | 689          | 696          | 696          | 696          | 696          | 696          | 696          |
| <b>WaferWorks</b>                                  | 200          | 200          | 218           | 297           | 388          | 413          | 476          | 500          | 500          | 500          | 500          | 500          | 500          | 500          | 500          |
| <b>Ferrotec JV</b>                                 |              | 0            | 0             | 51            | 100          | 100          | 100          | 100          | 100          | 100          | 100          | 100          | 100          | 100          | 100          |
| <b>China and others effective capacity</b>         | 70           | 100          | 105           | 259           | 272          | 298          | 355          | 399          | 528          | 700          | 767          | 798          | 830          | 863          | 863          |
| <b>Industry Utilization %</b>                      | <b>87.3%</b> | <b>88.6%</b> | <b>101.7%</b> | <b>101.0%</b> | <b>85.3%</b> | <b>83.9%</b> | <b>99.0%</b> | <b>95.6%</b> | <b>77.5%</b> | <b>71.9%</b> | <b>68.6%</b> | <b>78.7%</b> | <b>86.7%</b> | <b>93.7%</b> | <b>99.4%</b> |

Source: Company data, UBS estimates. Note: China and others refers to NSIG and other suppliers. Mon = month.

Figure 3: GWC's GM outlook improving with a better cycle, stronger ramp-up of US capacity, and SiC opportunities



Source: UBS estimates

## Forecast changes

Figure 4: Revisions to our earnings estimates

| (NT\$m)                 | 2026E         | New<br>2027E  | 2028E          | 2026E         | Old<br>2027E  | 2028E          | 2026E | Change<br>2027E | 2028E |
|-------------------------|---------------|---------------|----------------|---------------|---------------|----------------|-------|-----------------|-------|
| <b>Revenue</b>          | <b>62,671</b> | <b>89,944</b> | <b>137,319</b> | <b>63,958</b> | <b>80,486</b> | <b>104,995</b> | -2%   | 12%             | 31%   |
| - YoY chg               | 3%            | 44%           | 53%            | 6%            | 26%           | 30%            |       |                 |       |
| <b>Revenue (US\$m)</b>  | <b>1,958</b>  | <b>2,811</b>  | <b>4,291</b>   | <b>1,999</b>  | <b>2,515</b>  | <b>3,281</b>   | -2%   | 12%             | 31%   |
| - YoY chg               | 1%            | 44%           | 53%            | 4%            | 26%           | 30%            |       |                 |       |
| <b>Gross profit</b>     | <b>13,501</b> | <b>31,346</b> | <b>62,991</b>  | <b>13,704</b> | <b>21,803</b> | <b>34,623</b>  | -1%   | 44%             | 82%   |
| - Gross margin          | 21.5%         | 34.9%         | 45.9%          | 21.4%         | 27.1%         | 33.0%          |       |                 |       |
| <b>Operating profit</b> | <b>7,368</b>  | <b>24,449</b> | <b>53,525</b>  | <b>7,816</b>  | <b>15,379</b> | <b>26,773</b>  | -6%   | 59%             | 100%  |
| - Operating margin      | 11.8%         | 27.2%         | 39.0%          | 12.2%         | 19.1%         | 25.5%          |       |                 |       |
| <b>Pretax profit</b>    | <b>10,519</b> | <b>28,789</b> | <b>55,565</b>  | <b>10,668</b> | <b>16,019</b> | <b>27,013</b>  |       |                 |       |
| <b>Net profit</b>       | <b>8,025</b>  | <b>21,592</b> | <b>41,674</b>  | <b>8,137</b>  | <b>12,014</b> | <b>20,260</b>  | -1%   | 80%             | 106%  |
| - Net margin            | 12.8%         | 24.0%         | 30.3%          | 12.7%         | 14.9%         | 19.3%          |       |                 |       |
| <b>EPS (NT\$)</b>       | <b>16.78</b>  | <b>45.16</b>  | <b>87.16</b>   | <b>17.02</b>  | <b>25.13</b>  | <b>42.37</b>   | -1%   | 80%             | 106%  |
| - YoY chg               | 10%           | 169%          | 93%            | 11%           | 48%           | 69%            |       |                 |       |

Source: UBS estimates. Note: Our EPS estimates here are based on basic EPS, and may differ from the table on the cover page.

Figure 5: Our earnings estimates vs consensus

| (NT\$m)                 | UBSe          |               |                | Consensus     |               |               | Difference |       |       |
|-------------------------|---------------|---------------|----------------|---------------|---------------|---------------|------------|-------|-------|
|                         | 2026E         | 2027E         | 2028E          | 2026F         | 2027F         | 2028F         | 2026E      | 2027E | 2028E |
| <b>Revenue</b>          | <b>62,671</b> | <b>89,944</b> | <b>137,319</b> | <b>64,646</b> | <b>81,288</b> | <b>95,547</b> | -3%        | 11%   | 44%   |
| - YoY chg               | 3%            | 44%           | 53%            | 7%            | 26%           | 18%           |            |       |       |
| <b>Gross profit</b>     | <b>13,501</b> | <b>31,346</b> | <b>62,991</b>  | <b>14,972</b> | <b>23,311</b> | <b>31,219</b> | -10%       | 34%   | 102%  |
| - Gross margin          | 21.5%         | 34.9%         | 45.9%          | 23.2%         | 28.7%         | 32.7%         |            |       |       |
| <b>Operating profit</b> | <b>7,368</b>  | <b>24,449</b> | <b>53,525</b>  | <b>8,799</b>  | <b>16,326</b> | <b>23,225</b> | -16%       | 50%   | 130%  |
| - Operating margin      | 11.8%         | 27.2%         | 39.0%          | 13.6%         | 20.1%         | 24.3%         |            |       |       |
| <b>Net profit</b>       | <b>8,025</b>  | <b>21,592</b> | <b>41,674</b>  | <b>9,880</b>  | <b>14,640</b> | <b>19,868</b> | -19%       | 47%   | 110%  |
| - Net margin            | 12.8%         | 24.0%         | 30.3%          | 15.3%         | 18.0%         | 20.8%         |            |       |       |
| <b>EPS (NT\$)</b>       | <b>16.78</b>  | <b>45.16</b>  | <b>87.16</b>   | <b>20.57</b>  | <b>29.96</b>  | <b>41.56</b>  | -18%       | 51%   | 110%  |
| - YoY chg               | 10%           | 169%          | 93%            | 35%           | 46%           | 39%           |            |       |       |

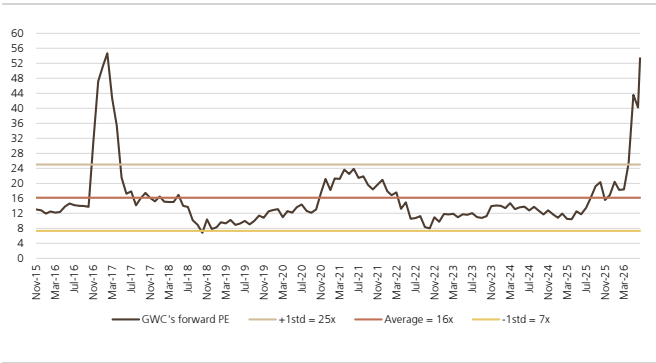
Source: UBS estimates, Visible Alpha. Note: Our EPS estimates here are based on basic EPS, and may differ from the table on the cover page.

Figure 6: Our earnings forecasts

| (NT\$ m)                      | 2025          | Q126          | Q226E         | Q326E         | Q426E         | 2026E         | Q127E         | Q227E         | Q327E         | Q427E         | 2027E         | 2028E          | 2029E          | 2030E          |
|-------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|
| <b>Revenue</b>                | <b>60,598</b> | <b>13,985</b> | <b>15,214</b> | <b>16,274</b> | <b>17,198</b> | <b>62,671</b> | <b>19,238</b> | <b>21,162</b> | <b>23,898</b> | <b>25,646</b> | <b>89,944</b> | <b>137,319</b> | <b>187,024</b> | <b>192,523</b> |
| - YoY chg (%)                 | -3%           | -10%          | -5%           | 12%           | 19%           | 3%            | 38%           | 39%           | 47%           | 49%           | 44%           | 53%            | 36%            | 3%             |
| - QoQ chg (%)                 | -             | -4%           | 9%            | 7%            | 6%            | -             | 12%           | 10%           | 13%           | 7%            | -             | -              | -              | -              |
| <b>Revenue (US\$m)</b>        | <b>1,930</b>  | <b>437</b>    | <b>475</b>    | <b>509</b>    | <b>537</b>    | <b>1,958</b>  | <b>601</b>    | <b>661</b>    | <b>747</b>    | <b>801</b>    | <b>2,811</b>  | <b>4,291</b>   | <b>5,845</b>   | <b>6,016</b>   |
| - YoY chg (%)                 | -1%           | -7%           | -8%           | 5%            | 16%           | 1%            | 38%           | 39%           | 47%           | 49%           | 44%           | 53%            | 36%            | 3%             |
| - QoQ chg (%)                 | -             | -5%           | 9%            | 7%            | 6%            | -             | 12%           | 10%           | 13%           | 7%            | -             | -              | -              | -              |
| <b>Blended ASP (US\$/pcs)</b> |               |               |               |               |               |               |               |               |               |               |               |                |                |                |
| <6"                           | 6.9           | 6.9           | 6.9           | 6.9           | 6.9           | 6.9           | 6.9           | 6.9           | 6.9           | 6.9           | 6.9           | 7.0            | 6.9            | 6.9            |
| 6"                            | 9.2           | 9.0           | 9.0           | 9.0           | 9.0           | 9.0           | 9.2           | 9.5           | 9.8           | 10.1          | 9.7           | 10.9           | 12.2           | 12.7           |
| 8"                            | 56.6          | 54.1          | 54.1          | 54.1          | 55.7          | 54.5          | 59.6          | 63.7          | 67.6          | 70.9          | 65.6          | 80.4           | 93.0           | 92.2           |
| 12"                           | 100.5         | 94.7          | 94.5          | 97.3          | 100.2         | 96.9          | 107.3         | 114.8         | 124.0         | 133.9         | 120.4         | 159.4          | 195.1          | 208.4          |
| <b>Wafer shipment (k pcs)</b> |               |               |               |               |               |               |               |               |               |               |               |                |                |                |
| <6"                           | 9,030         | 2,310         | 2,310         | 2,310         | 2,310         | 9,240         | 2,310         | 2,310         | 2,310         | 2,310         | 9,240         | 10,080         | 10,080         | 10,080         |
| - YoY chg (%)                 | 4%            |               |               |               |               | 2%            |               |               |               |               | 0%            | 9%             | 0%             | 0%             |
| 6"                            | 12,011        | 3,073         | 3,073         | 3,073         | 3,073         | 12,290        | 3,073         | 3,073         | 3,073         | 3,073         | 12,290        | 13,407         | 13,407         | 13,407         |
| - YoY chg (%)                 | 4%            |               |               |               |               | 2%            |               |               |               |               | 0%            | 9%             | 0%             | 0%             |
| 8"                            | 8,756         | 2,100         | 2,132         | 2,229         | 2,262         | 8,724         | 2,423         | 2,520         | 2,617         | 2,585         | 10,145        | 11,341         | 11,567         | 10,985         |
| - YoY chg (%)                 | 3%            |               |               |               |               | 0%            |               |               |               |               | 16%           | 12%            | 2%             | -5%            |
| 12"                           | 11,457        | 2,682         | 3,076         | 3,272         | 3,403         | 12,433        | 3,578         | 3,701         | 3,964         | 4,010         | 15,252        | 17,304         | 19,116         | 19,297         |
| - YoY chg (%)                 | 6%            |               |               |               |               | 9%            |               |               |               |               | 23%           | 13%            | 10%            | 1%             |
| <b>Gross profit</b>           | <b>14,624</b> | <b>2,914</b>  | <b>3,284</b>  | <b>3,499</b>  | <b>3,805</b>  | <b>13,501</b> | <b>5,152</b>  | <b>6,898</b>  | <b>9,038</b>  | <b>10,258</b> | <b>31,346</b> | <b>62,991</b>  | <b>95,033</b>  | <b>94,164</b>  |
| - Gross margin                | 24.1%         | 20.8%         | 21.6%         | 21.5%         | 22.1%         | 21.5%         | 26.8%         | 32.6%         | 37.8%         | 40.0%         | 34.9%         | 45.9%          | 50.8%          | 48.9%          |
| <b>Operating profit</b>       | <b>8,636</b>  | <b>1,475</b>  | <b>1,751</b>  | <b>1,903</b>  | <b>2,239</b>  | <b>7,368</b>  | <b>3,590</b>  | <b>5,240</b>  | <b>7,243</b>  | <b>8,376</b>  | <b>24,449</b> | <b>53,525</b>  | <b>82,882</b>  | <b>81,738</b>  |
| - OP margin                   | 14.3%         | 10.5%         | 11.5%         | 11.7%         | 13.0%         | 11.8%         | 18.7%         | 24.8%         | 30.3%         | 32.7%         | 27.2%         | 39.0%          | 44.3%          | 42.5%          |
| Non-op income                 | 880           | 871           | 960           | 660           | 660           | 3,151         | 1,460         | 960           | 960           | 960           | 4,340         | 2,040          | 240            | 240            |
| Pre-tax profit                | 9,516         | 2,347         | 2,711         | 2,563         | 2,899         | 10,519        | 5,050         | 6,200         | 8,203         | 9,336         | 28,789        | 55,565         | 83,122         | 81,978         |
| <b>Net profit</b>             | <b>7,312</b>  | <b>1,896</b>  | <b>2,033</b>  | <b>1,922</b>  | <b>2,174</b>  | <b>8,025</b>  | <b>3,787</b>  | <b>4,650</b>  | <b>6,152</b>  | <b>7,002</b>  | <b>21,592</b> | <b>41,674</b>  | <b>62,341</b>  | <b>61,483</b>  |
| - Net margin                  |               |               |               |               |               |               |               |               |               |               |               |                |                |                |
| <b>Reported EPS (NT\$)</b>    | <b>15.29</b>  | <b>3.97</b>   | <b>4.25</b>   | <b>4.02</b>   | <b>4.55</b>   | <b>16.78</b>  | <b>7.92</b>   | <b>9.73</b>   | <b>12.87</b>  | <b>14.64</b>  | <b>45.16</b>  | <b>87.16</b>   | <b>130.39</b>  | <b>128.60</b>  |
| - YoY chg (%)                 | -27%          | 30%           | 21%           | -2%           | -1%           | 10%           | 100%          | 129%          | 220%          | 222%          | 169%          | 93%            | 50%            | -1%            |
| - QoQ chg (%)                 | -             | -14%          | 7%            | -5%           | 13%           | -             | 74%           | 23%           | 32%           | 14%           | -             | -              | -              | -              |

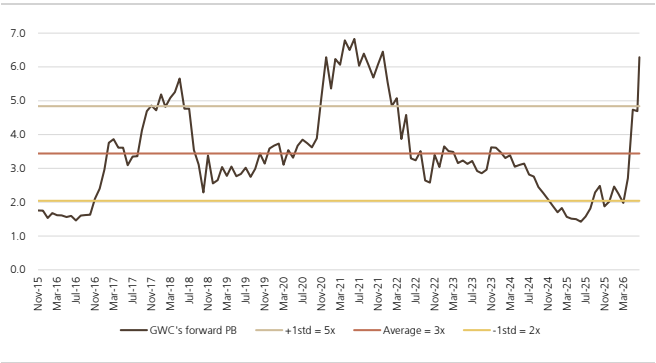
Source: Company data, UBS estimates. Note: Our EPS estimates here are based on basic EPS, and may differ from the table on the cover page.

Figure 7: GWC 12-month forward PE band (x)



Source: LSEG, UBS

Figure 8: GWC 12-month forward P/BV band (x)



Source: LSEG, UBS

## GlobalWafers (6488.TWO)

|                                             | 12/23           | 12/24           | 12/25           | 12/26E         | %ch          | 12/27E          | %ch          | 12/28E          | 12/29E         | 12/30E          |
|---------------------------------------------|-----------------|-----------------|-----------------|----------------|--------------|-----------------|--------------|-----------------|----------------|-----------------|
| <b>Income Statement (NT\$m)</b>             |                 |                 |                 |                |              |                 |              |                 |                |                 |
| <b>Revenues</b>                             | <b>70,652</b>   | <b>62,626</b>   | <b>60,598</b>   | <b>62,671</b>  | <b>3.4</b>   | <b>89,944</b>   | <b>43.5</b>  | <b>137,319</b>  | <b>187,024</b> | <b>192,523</b>  |
| Gross profit                                | 26,441          | 19,804          | 14,624          | 13,501         | -7.7         | 31,346          | 132.2        | 62,991          | 95,033         | 94,164          |
| <b>EBITDA (UBS)</b>                         | <b>26,792</b>   | <b>22,188</b>   | <b>17,585</b>   | <b>20,312</b>  | <b>15.5</b>  | <b>41,715</b>   | <b>105.4</b> | <b>75,536</b>   | <b>107,519</b> | <b>101,297</b>  |
| Depreciation & amortisation                 | (6,734)         | (8,069)         | (8,949)         | (12,944)       | -44.6        | (17,266)        | -33.4        | (22,011)        | (24,638)       | (19,559)        |
| <b>EBIT (UBS)</b>                           | <b>20,059</b>   | <b>14,118</b>   | <b>8,636</b>    | <b>7,368</b>   | <b>-14.7</b> | <b>24,449</b>   | <b>231.8</b> | <b>53,525</b>   | <b>82,882</b>  | <b>81,738</b>   |
| Associates & investment income              | 0               | 0               | 0               | 30             | -            | 40              | 33.3         | 40              | 40             | 40              |
| Other non-operating income                  | 3,822           | (2,789)         | 1,412           | 3,238          | 129.3        | 4,500           | 39.0         | 2,200           | 400            | 400             |
| Net interest                                | 2,616           | 1,100           | (532)           | (116)          | 78.1         | (200)           | -72.0        | (200)           | (200)          | (200)           |
| Exceptionals (incl goodwill)                | 0               | 0               | 0               | 0              | -            | 0               | -            | 0               | 0              | 0               |
| <b>Pre-tax profit</b>                       | <b>26,496</b>   | <b>12,429</b>   | <b>9,516</b>    | <b>10,519</b>  | <b>10.5</b>  | <b>28,789</b>   | <b>173.7</b> | <b>55,565</b>   | <b>83,122</b>  | <b>81,978</b>   |
| Tax                                         | (6,727)         | (2,590)         | (2,205)         | (2,494)        | -13.1        | (7,197)         | -188.6       | (13,891)        | (20,780)       | (20,495)        |
| <b>Profit after tax</b>                     | <b>19,770</b>   | <b>9,839</b>    | <b>7,312</b>    | <b>8,025</b>   | <b>9.8</b>   | <b>21,592</b>   | <b>169.1</b> | <b>41,674</b>   | <b>62,341</b>  | <b>61,484</b>   |
| Preference dividends                        | 0               | 0               | 0               | 0              | -            | 0               | -            | 0               | 0              | 0               |
| Minorities                                  | 2               | 7               | 0               | 0              | -            | 0               | 0.0          | 0               | 0              | 0               |
| Extraordinary items                         | 0               | 0               | 0               | 0              | -            | 0               | -            | 0               | 0              | 0               |
| <b>Net earnings (local GAAP)</b>            | <b>19,772</b>   | <b>9,846</b>    | <b>7,312</b>    | <b>8,025</b>   | <b>9.7</b>   | <b>21,592</b>   | <b>169.1</b> | <b>41,674</b>   | <b>62,341</b>  | <b>61,483</b>   |
| <b>Net earnings (UBS)</b>                   | <b>19,772</b>   | <b>9,846</b>    | <b>7,312</b>    | <b>8,025</b>   | <b>9.7</b>   | <b>21,592</b>   | <b>169.1</b> | <b>41,674</b>   | <b>62,341</b>  | <b>61,483</b>   |
| Tax rate (%)                                | 25.4            | 20.8            | 23.2            | 23.7           | 2.3          | 25.0            | 5.4          | 25.0            | 25.0           | 25.0            |
| <b>Per Share (NT\$)</b>                     |                 |                 |                 |                |              |                 |              |                 |                |                 |
| EPS (UBS, diluted)                          | 43.73           | 20.94           | 15.28           | 16.75          | 9.6          | 45.08           | 169.1        | 87.00           | 130.15         | 128.36          |
| EPS (local GAAP, diluted)                   | 43.73           | 20.94           | 15.28           | 16.75          | 9.6          | 45.08           | 169.1        | 87.00           | 130.15         | 128.36          |
| EPS (UBS, basic)                            | 45.41           | 22.58           | 16.37           | 16.78          | 2.5          | 45.16           | 169.1        | 87.16           | 130.39         | 128.60          |
| DPS (net) (NT\$)                            | 20.07           | 11.00           | 5.70            | 6.71           | 17.8         | 18.06           | 169.1        | 34.86           | 0.00           | 0.00            |
| Cash EPS (UBS, diluted) <sup>1</sup>        | 58.63           | 38.09           | 33.98           | 43.78          | 28.8         | 81.12           | 85.3         | 132.96          | 181.59         | 169.20          |
| Book value per share                        | 152.37          | 208.73          | 195.14          | 199.15         | 2.1          | 233.82          | 17.4         | 293.93          | 381.69         | 456.64          |
| Average shares (diluted)                    | 452             | 470             | 479             | 479            | 0.1          | 479             | 0.0          | 479             | 479            | 479             |
| <b>Balance Sheet (NT\$m)</b>                |                 |                 |                 |                |              |                 |              |                 |                |                 |
| Cash and equivalents                        | 26,175          | 38,958          | 19,486          | 39,744         | 104.0        | 52,176          | 31.3         | 78,639          | 124,333        | 176,346         |
| Other current assets                        | 63,927          | 41,534          | 67,144          | 51,363         | -23.5        | 77,184          | 50.3         | 115,064         | 152,764        | 150,037         |
| <b>Total current assets</b>                 | <b>90,101</b>   | <b>80,492</b>   | <b>86,629</b>   | <b>91,107</b>  | <b>5.2</b>   | <b>129,360</b>  | <b>42.0</b>  | <b>193,702</b>  | <b>277,097</b> | <b>326,383</b>  |
| Net tangible fixed assets                   | 72,251          | 119,074         | 107,241         | 104,696        | -2.4         | 97,431          | -6.9         | 85,419          | 66,782         | 53,223          |
| Net intangible fixed assets                 | 2,347           | 2,448           | 2,319           | 2,357          | 1.7          | 2,357           | 0.0          | 2,357           | 2,357          | 2,357           |
| Investments / other assets                  | 24,290          | 22,566          | 22,153          | 24,677         | 11.4         | 29,281          | 18.7         | 36,045          | 42,776         | 42,269          |
| <b>Total assets</b>                         | <b>188,988</b>  | <b>224,581</b>  | <b>218,343</b>  | <b>222,838</b> | <b>2.1</b>   | <b>258,429</b>  | <b>16.0</b>  | <b>317,524</b>  | <b>389,011</b> | <b>424,232</b>  |
| Trade payables & other ST liabilities       | 33,699          | 35,927          | 23,098          | 28,392         | 22.9         | 31,032          | 9.3          | 37,369          | 42,992         | 44,106          |
| Short term debt                             | 40,575          | 29,137          | 31,010          | 37,445         | 20.7         | 37,445          | 0.0          | 37,445          | 37,445         | 37,445          |
| <b>Total current liabilities</b>            | <b>74,274</b>   | <b>65,065</b>   | <b>54,109</b>   | <b>65,836</b>  | <b>21.7</b>  | <b>68,477</b>   | <b>4.0</b>   | <b>74,814</b>   | <b>80,436</b>  | <b>81,550</b>   |
| Long term debt                              | 14,542          | 37,678          | 43,244          | 29,221         | -32.4        | 29,221          | 0.0          | 29,221          | 29,221         | 29,221          |
| Other long term liabilities                 | 33,719          | 30,810          | 27,695          | 32,569         | 17.6         | 48,941          | 50.3         | 72,960          | 96,865         | 95,137          |
| Preferred shares                            | 0               | 0               | 0               | 0              | -            | 0               | -            | 0               | 0              | 0               |
| <b>Total liabilities (incl pref shares)</b> | <b>122,534</b>  | <b>133,553</b>  | <b>125,048</b>  | <b>127,626</b> | <b>2.1</b>   | <b>146,639</b>  | <b>14.9</b>  | <b>176,995</b>  | <b>206,523</b> | <b>205,908</b>  |
| <b>Common s/h equity</b>                    | <b>66,450</b>   | <b>91,031</b>   | <b>93,299</b>   | <b>95,215</b>  | <b>2.1</b>   | <b>111,793</b>  | <b>17.4</b>  | <b>140,532</b>  | <b>182,492</b> | <b>218,328</b>  |
| Minority interests                          | 4               | (3)             | (3)             | (4)            | -2.0         | (4)             | 0.0          | (4)             | (4)            | (4)             |
| <b>Total liabilities &amp; equity</b>       | <b>188,988</b>  | <b>224,581</b>  | <b>218,343</b>  | <b>222,838</b> | <b>2.1</b>   | <b>258,429</b>  | <b>16.0</b>  | <b>317,524</b>  | <b>389,011</b> | <b>424,232</b>  |
| <b>Cash Flow (NT\$m)</b>                    |                 |                 |                 |                |              |                 |              |                 |                |                 |
| Net income (before pref divs)               | 19,772          | 9,846           | 7,312           | 8,025          | 9.7          | 21,592          | 169.1        | 41,674          | 62,341         | 61,483          |
| Depreciation & amortisation                 | 6,734           | 8,069           | 8,949           | 12,944         | 44.6         | 17,266          | 33.4         | 22,011          | 24,638         | 19,559          |
| Net change in working capital               | (708)           | (1,485)         | (21)            | 3,702          | -            | (8,561)         | -            | (11,748)        | (11,810)       | 1,395           |
| Other operating                             | (7,862)         | 306             | (3,125)         | (5,884)        | -88.3        | (21,027)        | -257.3       | (30,856)        | (30,710)       | 2,241           |
| <b>Operating cash flow</b>                  | <b>17,936</b>   | <b>16,737</b>   | <b>13,114</b>   | <b>18,786</b>  | <b>43.2</b>  | <b>9,269</b>    | <b>-50.7</b> | <b>21,081</b>   | <b>44,459</b>  | <b>84,678</b>   |
| Tangible capital expenditure                | (36,475)        | (47,940)        | (33,411)        | (10,000)       | 70.1         | (10,000)        | 0.0          | (10,000)        | (6,000)        | (6,000)         |
| Intangible capital expenditure              | 0               | 0               | 0               | 0              | -            | 0               | -            | 0               | 0              | 0               |
| Net (acquisitions) & disposals              | 53              | (6,846)         | (106)           | 13             | -            | 0               | -            | 0               | 0              | 0               |
| Other investing                             | (36,620)        | 25,166          | (531)           | 15,610         | -            | 0               | -            | 0               | 0              | 0               |
| <b>Investing cash flow</b>                  | <b>(73,042)</b> | <b>(29,620)</b> | <b>(34,049)</b> | <b>5,623</b>   | <b>-</b>     | <b>(10,000)</b> | <b>-</b>     | <b>(10,000)</b> | <b>(6,000)</b> | <b>(6,000)</b>  |
| Equity dividends paid                       | (6,964)         | (8,748)         | (5,259)         | (3,681)        | 30.0         | (3,210)         | 12.8         | (8,637)         | (16,669)       | (24,936)        |
| Share issues / (buybacks)                   | 0               | 21,891          | 0               | 0              | -            | 0               | -            | 0               | 0              | 0               |
| Other financing                             | (210)           | (145)           | (172)           | 6,354          | -            | 16,373          | 157.7        | 24,019          | 23,905         | (1,729)         |
| Change in debt & pref shares                | 5,270           | 12,743          | 6,734           | (7,812)        | -            | 0               | -            | 0               | 0              | 0               |
| <b>Financing cash flow</b>                  | <b>(1,903)</b>  | <b>25,740</b>   | <b>1,303</b>    | <b>(5,139)</b> | <b>-</b>     | <b>13,163</b>   | <b>-</b>     | <b>15,382</b>   | <b>7,236</b>   | <b>(26,665)</b> |
| <b>Cash flow inc/(dec) in cash</b>          | <b>(57,009)</b> | <b>12,857</b>   | <b>(19,631)</b> | <b>19,270</b>  | <b>-</b>     | <b>12,432</b>   | <b>-35.5</b> | <b>26,463</b>   | <b>45,694</b>  | <b>52,013</b>   |
| FX / non cash items                         | 2,660           | (74)            | 159             | 988            | NM           | 0               | -            | 0               | 0              | 0               |
| <b>Balance sheet inc/(dec) in cash</b>      | <b>(54,349)</b> | <b>12,784</b>   | <b>(19,472)</b> | <b>20,258</b>  | <b>-</b>     | <b>12,432</b>   | <b>-38.6</b> | <b>26,463</b>   | <b>45,694</b>  | <b>52,013</b>   |

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.<sup>1</sup> Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

GlobalWafers (6488.TWO)

| Valuation (x)                          | 12/23    | 12/24    | 12/25    | 12/26E   | 12/27E   | 12/28E   | 12/29E   | 12/30E   |
|----------------------------------------|----------|----------|----------|----------|----------|----------|----------|----------|
| P/E (local GAAP, diluted)              | 11.6     | 24.1     | 24.1     | NM       | 29.9     | 15.5     | 10.4     | 10.5     |
| P/E (UBS, diluted)                     | 11.6     | 24.1     | 24.1     | 80.6     | 29.9     | 15.5     | 10.4     | 10.5     |
| P/CEPS                                 | 8.3      | 12.3     | 10.1     | 30.8     | 16.6     | 10.1     | 7.4      | 8.0      |
| Equity FCF (UBS) yield %               | (8.4)    | (14.2)   | (12.7)   | 1.4      | (0.1)    | 1.7      | 6.0      | 12.2     |
| Dividend yield (net) %                 | 4.0      | 2.2      | 1.6      | 0.5      | 1.3      | 2.6      | 0.0      | 0.0      |
| P/BV                                   | 3.3      | 2.4      | 1.9      | 6.8      | 5.8      | 4.6      | 3.5      | 3.0      |
| EV/revenues (core)                     | 2.9      | 3.7      | 3.1      | NM       | 7.2      | 4.6      | 3.4      | 3.3      |
| EV/EBITDA (UBS core)                   | 7.6      | 10.5     | 10.6     | 33.0     | 15.6     | 8.4      | 5.9      | 6.2      |
| EV/EBIT (core)                         | 10.2     | 16.6     | 21.6     | 91.1     | 26.6     | 11.8     | 7.6      | 7.7      |
| EV/OpFCF (core)                        | NM       | NM       | NM       | 47.9     | 28.1     | 11.7     | 7.0      | 6.5      |
| EV/op. invested capital                | 4.4      | 2.5      | 1.6      | 5.6      | 6.0      | 5.6      | 5.7      | 6.2      |
| Enterprise value (NT\$m)               | 12/23    | 12/24    | 12/25    | 12/26E   | 12/27E   | 12/28E   | 12/29E   | 12/30E   |
| Market cap.                            | 219,992  | 219,805  | 160,364  | 645,454  | 645,454  | 645,454  | 645,454  | 645,454  |
| Net debt (cash)                        | (1,129)  | 28,400   | 41,313   | 40,845   | 20,706   | 1,258    | 1,258    | 1,258    |
| Buy out of minorities                  | 4        | 0        | 0        | 0        | 0        | 0        | 0        | 0        |
| Pension provisions/other               | 0        | 0        | 0        | 0        | 0        | 0        | 0        | 0        |
| Total enterprise value                 | 218,868  | 248,205  | 201,677  | 686,299  | 666,160  | 646,712  | 646,712  | 646,712  |
| Non core assets                        | (14,184) | (14,280) | (14,811) | (15,481) | (15,462) | (15,444) | (15,425) | (15,407) |
| Core enterprise value                  | 204,684  | 233,924  | 186,866  | 670,818  | 650,697  | 631,268  | 631,287  | 631,306  |
| Growth (%)                             | 12/23    | 12/24    | 12/25    | 12/26E   | 12/27E   | 12/28E   | 12/29E   | 12/30E   |
| Revenue                                | 0.5      | (11.4)   | (3.2)    | 3.4      | 43.5     | 52.7     | 36.2     | 2.9      |
| EBITDA (UBS)                           | (13.8)   | (17.2)   | (20.7)   | 15.5     | 105.4    | 81.1     | 42.3     | (5.8)    |
| EBIT (UBS)                             | (19.7)   | (29.6)   | (38.8)   | (14.7)   | NM       | 118.9    | 54.8     | (1.4)    |
| EPS (UBS, diluted)                     | 27.9     | (52.1)   | (27.0)   | 9.6      | 169.1    | 93.0     | 49.6     | (1.4)    |
| Net DPS                                | 25.4     | (45.2)   | (48.2)   | 17.8     | 169.1    | 93.0     | (100.0)  | -        |
| Margins & Profitability (%)            | 12/23    | 12/24    | 12/25    | 12/26E   | 12/27E   | 12/28E   | 12/29E   | 12/30E   |
| Gross profit margin                    | 37.4     | 31.6     | 24.1     | 21.5     | 34.9     | 45.9     | 50.8     | 48.9     |
| EBITDA margin                          | 37.9     | 35.4     | 29.0     | 32.4     | 46.4     | 55.0     | 57.5     | 52.6     |
| EBIT (UBS) margin                      | 28.4     | 22.5     | 14.3     | 11.8     | 27.2     | 39.0     | 44.3     | 42.5     |
| Net earnings (UBS) margin              | 28.0     | 15.7     | 12.1     | 12.8     | 24.0     | 30.3     | 33.3     | 31.9     |
| ROIC (EBIT)                            | 42.7     | 15.2     | 7.3      | 6.1      | 22.5     | 47.8     | 74.5     | NM       |
| ROIC post tax                          | 31.9     | 12.0     | 5.6      | 4.7      | 16.9     | 35.8     | 55.9     | 60.5     |
| ROE (UBS)                              | 32.7     | 12.5     | 7.9      | 8.5      | 20.9     | 33.0     | 38.6     | 30.7     |
| Capital structure & Coverage (x)       | 12/23    | 12/24    | 12/25    | 12/26E   | 12/27E   | 12/28E   | 12/29E   | 12/30E   |
| Net debt / EBITDA                      | 1.1      | 1.3      | 3.1      | 1.3      | 0.3      | (0.2)    | (0.5)    | (1.1)    |
| Net debt / total equity %              | 43.6     | 30.6     | 58.7     | 28.3     | 13.0     | (8.5)    | (31.6)   | (50.2)   |
| Net debt / (net debt + total equity) % | 30.3     | 23.4     | 37.0     | 22.0     | 11.5     | (9.3)    | (46.2)   | NM       |
| Net debt/EV %                          | (0.5)    | 11.4     | 20.5     | 6.0      | 3.1      | 0.2      | (5.4)    | (12.9)   |
| Capex / depreciation %                 | NM       | NM       | NM       | 77.3     | 57.9     | 45.4     | 24.4     | 30.7     |
| Capex / revenue %                      | NM       | NM       | NM       | 16.0     | 11.1     | 7.3      | 3.2      | 3.1      |
| EBIT / net interest                    | -        | -        | 16.2     | 63.6     | NM       | NM       | NM       | NM       |
| Dividend cover (UBS)                   | 2.3      | 2.1      | 2.9      | 2.5      | 2.5      | 2.5      | -        | -        |
| Div. payout ratio (UBS) %              | 44.2     | 48.7     | 34.8     | 40.0     | 40.0     | 40.0     | -        | -        |
| Revenues by division (NT\$m)           | 12/23    | 12/24    | 12/25    | 12/26E   | 12/27E   | 12/28E   | 12/29E   | 12/30E   |
| Raw wafers                             | 70,652   | 62,626   | 60,598   | 62,671   | 89,944   | 137,319  | 187,024  | 192,523  |
| Others                                 | 0        | 0        | 0        | 0        | 0        | 0        | 0        | 0        |
| Total                                  | 70,652   | 62,626   | 60,598   | 62,671   | 89,944   | 137,319  | 187,024  | 192,523  |
| EBIT (UBS) by division (NT\$m)         | 12/23    | 12/24    | 12/25    | 12/26E   | 12/27E   | 12/28E   | 12/29E   | 12/30E   |
| Raw wafers                             | 20,059   | 14,118   | 8,636    | 7,368    | 24,449   | 53,525   | 82,882   | 81,738   |
| Others                                 | 0        | 0        | 0        | 0        | 0        | 0        | 0        | 0        |
| Total                                  | 20,059   | 14,118   | 8,636    | 7,368    | 24,449   | 53,525   | 82,882   | 81,738   |

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

## Forecast returns

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|                             |       |
|-----------------------------|-------|
| Forecast price appreciation | 48.1% |
| Forecast dividend yield     | 0.5%  |
| Forecast stock return       | 48.6% |
| Market return assumption    | 6.3%  |
| Forecast excess return      | 42.4% |

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## Company Description

GlobalWafers (GWC) was founded in 2011 as a spin-off from Sino-American Silicon (SAS). It focuses on silicon raw wafer manufacturing, with a product portfolio of polished, epitaxial (EPI), annealed, diffused, non-polished, float zone (FZ) and silicon-on-insulator (SOI) types. The company has around a 17% market share of the global silicon wafer market, and ranks as the third-largest, following several acquisitions (GlobiTech in 2008, Covalent in 2012, Topsil and SunEdison Semiconductor in 2016).

## Valuation Method and Risk Statement

For GlobalWafers, we derive our price target using a target PB multiple relative to industry peers. We believe GlobalWafers faces a variety of upside and downside risks, including volatile end demand, intense competition, high capital investment, industry capacity expansion and FX uncertainty. Key risks we identify for silicon-wafer manufacturers include lower semiconductor demand due to economic contraction, lower wafer demand caused by rapid miniaturisation progress, inventory adjustments in the supply chain, price competition stemming from oversupply caused by expansion of production capacity, the growing presence of Chinese manufacturers and FX fluctuation.



## Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on [ubs-quant-answers@ubs.com](mailto:ubs-quant-answers@ubs.com). A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

## GlobalWafers

| Question                                                                                                                                                                                                                                             | Response |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| 1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)                                                 | 4        |
| 2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)                                | 3        |
| 3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)                         | 4        |
| 4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)                | 3        |
| 5. What's driving the difference?                                                                                                                                                                                                                    |          |
| 6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view) | 3        |
| 7. What's driving the difference?                                                                                                                                                                                                                    |          |
| 8. Is there an upcoming catalyst for the company over the next three months?                                                                                                                                                                         |          |
| 9. Is there an actual or approximate date for the catalyst?                                                                                                                                                                                          |          |
| 10. Is the catalyst date an actual or approximate date?                                                                                                                                                                                              |          |
| 11. What is the catalyst?                                                                                                                                                                                                                            |          |

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| 12-Month Rating | Definition                            | Coverage <sup>1</sup> | IB Services <sup>2</sup> |
|-----------------|---------------------------------------|-----------------------|--------------------------|
| Buy             | FSR is > 6% above the MRA.            | 55%                   | 24%                      |
| Neutral         | FSR is between -6% and 6% of the MRA. | 40%                   | 21%                      |
| Sell            | FSR is > 6% below the MRA.            | 6%                    | 21%                      |

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

**KEY DEFINITIONS:****Forecast Stock Return (FSR)** is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

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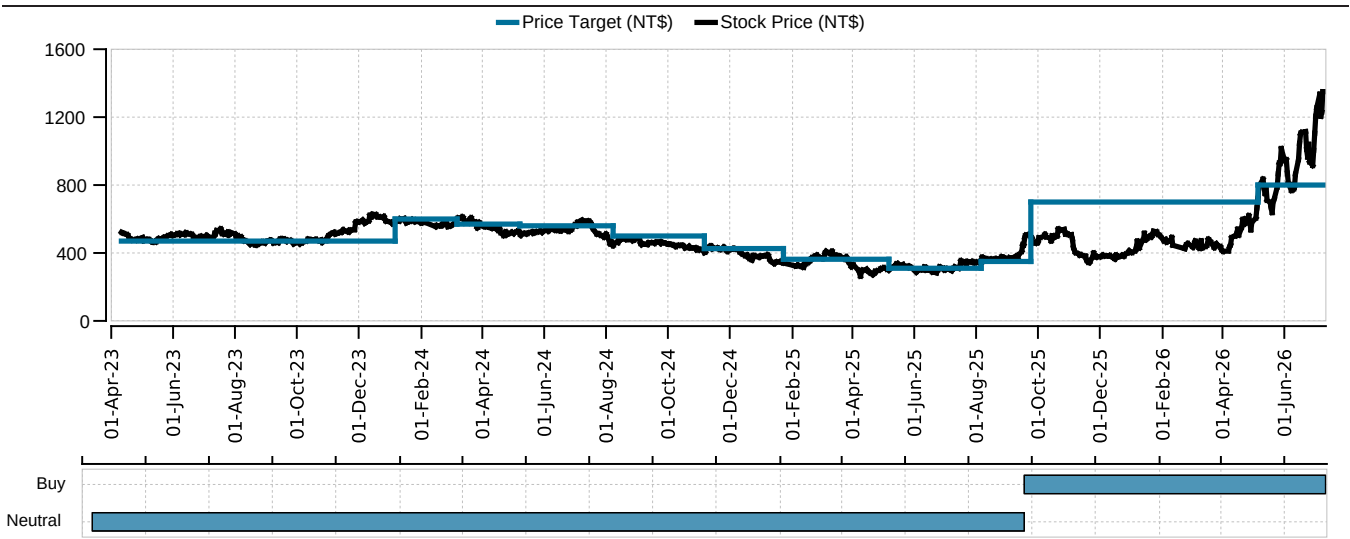
**Company Disclosures**

| Company Name | Reuters  | 12-month rating | Price     | Price date  |
|--------------|----------|-----------------|-----------|-------------|
| GlobalWafers | 6488.TWO | Suspended       | NT\$1,350 | 10 Jul 2026 |

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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**GlobalWafers (NT\$)**



| Date       | Stock Price (NT\$) | Price Target (NT\$) | Rating    |
|------------|--------------------|---------------------|-----------|
| 2023-04-10 | 519.00             | 470.00              | Neutral   |
| 2024-01-05 | 584.00             | 600.00              | Neutral   |
| 2024-03-06 | 576.00             | 570.00              | Neutral   |
| 2024-05-07 | 527.00             | 560.00              | Neutral   |
| 2024-08-07 | 460.50             | 500.00              | Neutral   |
| 2024-11-05 | 418.00             | 426.00              | Neutral   |
| 2025-01-22 | 342.00             | 363.00              | Neutral   |
| 2025-05-06 | 307.00             | 310.00              | Neutral   |
| 2025-08-05 | 352.00             | 350.00              | Neutral   |
| 2025-09-23 | 501.00             | 700.00              | Buy       |
| 2026-05-05 | 666.00             | 800.00              | Buy       |
| 2026-07-13 | 1350.00            | -                   | No Rating |

Source: UBS Global Research; LSEG Eikon as of 10-Jul-2026. All prices as of local market close. Ratings as of date shown.

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